

vestment outlook for infrastructure, a recovery in consumption demand and a better external environment. The report, released in August, says: "With monetary policy remaining loose in the near term, we believe the impetus to demand will continue in 2011. The driver of growth, we think, will increasingly shift from rural to urban India."

The rally which began after the election results is a clear indication that a stable government at the Centre and policy moves to enhance investments, especially in infrastructure, have impacted corporate performance and thereby given a leg-up to the investor sentiment. It is this confidence in the Indian economy that has helped Indian companies raise capital through qualified institutional placements in the last quarter. After a slowdown over the past 18 months, capital expenditure plans are on track in sectors like power, roads, energy and materials. The revival is mainly due to the availability of credit and expectations of a revival in demand.

Despite the massive selling by FIIs all through fiscal year 2008-09, FIIs are still the second largest owners of the top 30 Indian stocks at 21 per cent after promoters, who own 52 per cent of Indian stocks. While an appetite may have returned for global emerging markets (GEM), India, Taiwan and Korea are attracting most of the foreign investments compared to many other emerging economies this fiscal. Emerging markets, between January and July 2009,

have received \$41 billion in investments compared to outflows of \$49 billion in 2008. These inflows are higher than the \$26 billion that came into GEM in 2006.

So what has changed now that global investors are queuing up to invest in markets like India? A lot, think economists and investment banks. For instance, Credit Suisse has raised India's GDP growth forecast to 6.2 per cent (for India fiscal year beginning in April 2009). Explains Dong Tao, Credit Suisse chief regional economist for non-Japan Asia: "Industrial production in India expanded 1.4 per cent year-on-year in April 2009 against average declines of -0.17 per cent year-on-year during January to March 2009. The recent election result, which was well received by the market, is likely to increase capital flows to India, including foreign direct investment and portfolio inflows."

Emerging market equities have for the longest time been the epitome of risk, but last year's financial meltdown and the resilience shown by economies like India, China, Korea and Taiwan has proved beyond doubt that these emerging economies have done something right. Explains Ridham Desai, MD, Morgan Stanley India: "Foreign investors returning to emerging markets is not uni-dimensional. First, stimulus packages adding up to \$11.9 trillion by IMF estimates have helped stabilise markets. And contrary to popular perception, investors have realised that emerging markets have secured themselves and have

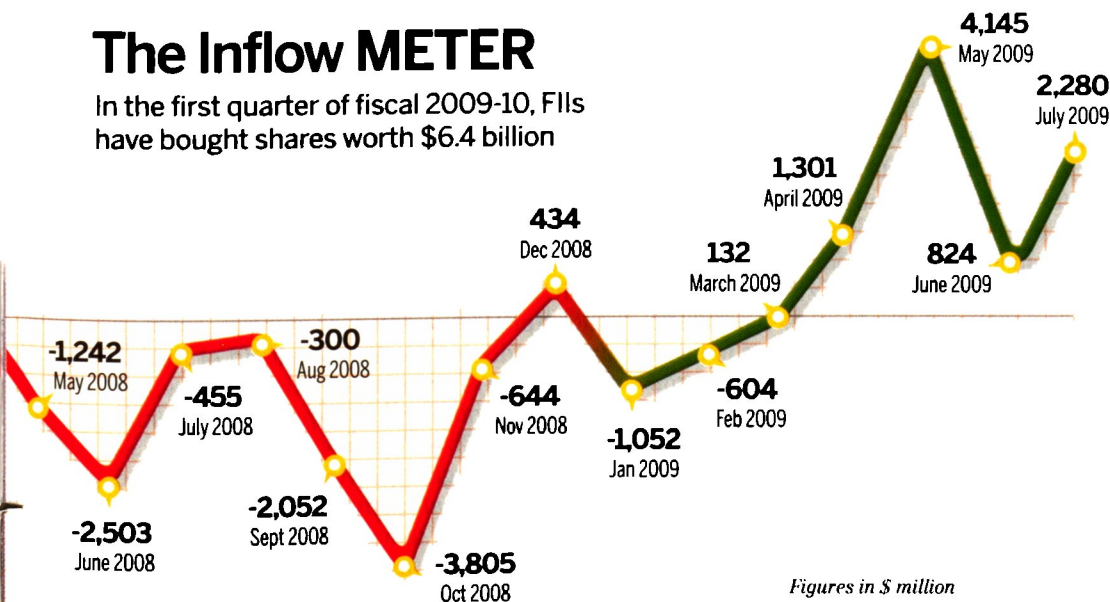
## Why India is

- India is among the few economies to record GDP growth higher than 5 per cent
- At 16 per cent, FII ownership of Indian stocks is still less than the 19 per cent of 2007
- Capex plans are on track in sectors like power, roads, energy, materials
- Valuations are still attractive and not ahead of fundamentals
- A stable government and policy moves to enhance investments has impacted corporate performance

is what FIIs own in the 30 Sensex stocks, the second highest holding after the promoters.

## The Inflow METER

In the first quarter of fiscal 2009-10, FIIs have bought shares worth \$6.4 billion



Figures in \$ million

## Calendar

- 2009 **\$8.68 bn\***
- 2008 **-\$15.67 bn**
- 2007 **\$17.23 bn**
- 2006 **\$8 bn**
- 2005 **\$10.54 bn**

\* Data till July 2009